

VENDOR ONBOARDING SOP

Standard Operating Procedure | SOP No. SOP-VOB-001 | Version 1.2

SOP Number:	SOP-VOB-001
Version:	1.2
Effective Date:	May 14, 2025
Process Owner:	Megan Strickland (EMP-59544) — Manager
Applicable System(s):	Audit Assistant Platform / ERP / Finance System

1. PURPOSE

This SOP defines the standardised process for vendor onboarding to ensure consistency, control effectiveness, and audit traceability across all business units.

2. PROCESS FLOW

- Step 1:** Receive vendor onboarding request from requesting department
- Step 2:** Collect vendor registration documents and compliance certificates
- Step 3:** Perform sanctions screening and risk assessment scoring
- Step 4:** Assign initial risk_rating (LOW/MEDIUM/HIGH/CRITICAL) in Vendor Master
- Step 5:** Route to Procurement Lead for approval based on risk tier
- Step 6:** Activate vendor record with status = ACTIVE upon approval

3. ROLES AND RESPONSIBILITIES

Role	Responsibility
Finance Manager	Monitors exceptions and escalates as required
AP Specialist	Monitors exceptions and escalates as required
Department Head	Initiates and validates process inputs
Internal Auditor	Performs periodic reconciliation and reporting

4. CONTROLS

This process incorporates the following key controls: (i) system-enforced validation against the Delegation of Authority Policy; (ii) mandatory documentation attachment prior to approval; (iii) periodic exception reporting to Internal Audit; and (iv) quarterly process effectiveness review.

5. EXCEPTION HANDLING

Any deviation from this SOP must be documented with justification and approved by Manager or delegate. Exceptions are logged in the exception register and reviewed monthly by the Risk Committee. Repeated exceptions of the same type will trigger a process redesign review.

6. RELATED DOCUMENTS

This SOP should be read in conjunction with the Delegation of Authority Policy, the Internal Audit Charter, and the relevant functional policy governing this process area.